

PayPal

Inputs and Assumptions

GENERAL

- First year of forecast in financial model: 2026
- Three scenarios have been used for Total Payment Volume (TPV), Take Rate Compression, Other Value Added Services, Transaction Expense, Transaction and Credit Losses, and Technology and Development

EQUITY

Most Recent Stock Price	\$45.47
Stock Price Date	7/5/2026
Shares Outstanding 1/28/26 (in MM)	920.664
LTM Average Share Price	\$58.49
Outstanding RSU's	31.757
Dividend Per Share	\$ 0.56

SCENARIO CASES

- The Total Payment Volume cases are as follows:

Pricing Case

Base Case	Research Forecast
Best Case	+2.0%
Worst Case	(2.0%)

REVENUE DRIVERS

Total Payment Volume Growth	6.0%
Take Rate Compression Year 1	-0.04%
Other Value-Added Services Growth	4.0%

COSTS

Driver

Transaction Expenses	% of TPV	0.89%
Transaction & Credit Losses	% of TPV	0.096%
Customer Support & Operations	% of rev	5.1%
Sales & Marketing	% of rev	6.9%
Technology & Development Growth	%	3.0%
General & Administrative	%	2.0%
Stock-based compensation	% of rev	3.4%

INTEREST RATES

Interest earned on Cash balances:	3.0%
Interest rate on Bank Revolver:	
Interest rate on Senior Secured Term Debt:	3.9%
Yield on customer balances:	3.20%
Customer funds balance growth:	3.0%

Capex & D&A

Capital Expenditures	% of rev	2.4%
D&A	% of capex	

TAXES

Tax rate assumed in the model:	21.0%
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Debt Repayment			Circuit Breaker & Other	
Year			Circuit Breaker	OFF
2026	10-K FY 2025 p. 105	1,397.0	Minimum cash of \$1,000M assumes upstream distributions from regulated subsidiaries are feasible; actual sweepable cash may be lower due to money-transmitter licensing requirements at PayPal, Inc. (FY2025 10-K pp. 10, 44).	
2027	10-K FY 2025 p. 105	1,075.0		
2028	10-K FY 2025 p. 105	1,137.0		
2029	10-K FY 2025 p. 105	1,500.0		
2030	10-K FY 2025 p. 105	1,000.0		

OTHER ASSUMPTIONS		2024	2025	2026	2027	2028	2029	2030
Take Rate Compression	%			-0.04%	-0.03%	-0.02%	-0.01%	-0.01%
Capital Expenditures	MM			\$823.6	\$856.5	\$895.6	\$941.8	\$990.4
Income Tax								
Reduction in EBT for timing differences	MM	1,100	1,033	1,144	760	504	335	222
Capitalized R&D DTA, year-end	MM	1,077	715	475	315	209	139	92
Annual reversal rate (% of prior-year DTA)			33.6%					
Annual DTA reversal	MM			240	160	106	70	47
Working Capital Days								
Accounts Receivable	days	11.3	9.2	9.2	9.2	9.2	9.2	9.2
Prepaid Expenses	days	32.2	34.4	34.4	34.4	34.4	34.4	34.4
Accounts Payable	days	4.4	4.5	4.5	4.5	4.5	4.5	4.5
Other Liabilities	days	85.2	86.7	86.7	86.7	86.7	86.7	86.7
LTM Revenue	MM			33734.0				
LTM EBITDA	MM			6752.0				